

Global Hotels & Leisure

Cruise: The Finer Tide of Life. Luxury Ocean Cruise Primer



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While our long term view of the overall cruise industry is a constructive one, the Luxury segment faces the most pronounced demographic and structural demand tailwinds in cruise. An increasingly wealthy, higher-earning and older consumer with more leisure time is most impactful to the top end of the market, while slowing luxury hotel supply growth is a key tailwind. To play these structural trends, Viking is the only scaled pure play. Viking has carved out a powerful niche - differentiated from the opulent offerings of Regent or high-end hotel branded yachts. Viking's focus on 'the thinking person', with onboard historians and cultural enrichment are unique to the brand, driving a pricing premium and powerful brand moat. Demand drivers mean we expect it can comfortably keep up with supply growth, driving a compelling earnings algorithm riding on the rising luxury cruise tide.

All aboard - the strongest tailwinds in Cruise. There are 2 key demand drivers for the Luxury segment in cruise: **(1)** An older, wealthier, and higher-earning US consumer - Cruise is done by older consumers, but this is particularly true in Luxury, with an average age of 63. This demographic is set to continue to outgrow the US population, and has grown its share of wealth - almost 75% of US household wealth is held by those over 55. This is turbocharged by an increasingly disparate US income profile, with the top quartile seeing the most income growth, and the greatest increase in leisure time - supportive of Luxury travel spend. **(2)** A lack of luxury hotel supply - rising construction, labor, and financing costs have stalled high-end hotel development, and Luxury cruise can benefit and capture the spill-over in demand.

A vast horizon of differentiated options. While in the mainstream and premium brands often compete head to head, the Luxury segment features significantly more differentiation, and prices range from \$500 to high 5 figure sums per night. Ship size is a key determinant of how much consumers are willing to pay for a luxury cruise - yachts offered by luxury travel brands such as Orient Express and Aman with ~100 berths are priced in excess of \$5,000 per night, whilst cruises aboard ~1,000 berth ships are ~\$500 per night. However, brand power can buck this trend - Viking's unique product enables it to price materially higher than brands with similarly sized ships (i.e. Oceania).

Viking has the wind in its sails. Offering **(1)** A differentiated brand able to charge prices significantly higher than competitors driven by Viking's focus on enriching cruises, for an affluent customer segment (55+ North Americans); **(2)** Leading luxury cruise capacity growth, with Viking ships >50% of the segment's capacity growth through 2030, with growth allocated to higher yielding itineraries in Alaska / Scandinavia; **(3)** The design of Viking's ocean ships enable the brand to add capacity at a very low cost per berth - similar to the cost to mainstream brands (~\$0.5m/berth) but with significantly higher yields.

Leaving branded yachts in its wake. The yacht experience is different to traditional luxury cruise; itineraries focus on locations which are difficult to access in for even small ship Luxury ocean liners (e.g. stops along the Croatian, Italian and French coastlines), feature large staterooms akin to luxury hotel rooms, and serve as a way to drive more touchpoints with their already established brands (Aman, Four Seasons, Orient Express). This is in sharp contrast to the Viking's 'relaxed luxury' approach - the focus on cultural enrichment rather than opulence means Viking competes for a very different customer base.

BERNSTEIN TICKER TABLE

Ticker	Rating	10 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CCL (Carnival)	M	USD	25.99	28.70	(11.5)%	USD	2.25	2.19	2.50	11.6	11.9	10.4
NCLH (Norwegian)	M	USD	17.92	18.00	(27.1)%	USD	2.11	1.64	1.94	8.5	10.9	9.2
RCL (Royal Caribbean)	O	USD	268.73	355.00	(20.4)%	USD	15.63	17.47	19.65	17.2	15.4	13.7
VIK (Viking)	O	USD	88.48	120.00	67.2%	USD	2.61	3.31	4.65	33.9	26.7	19.0
SPX			7,394.30									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Viking and Royal Caribbean Outperform, and Carnival and Norwegian Market-Perform.

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DETAILS

THE LUXURY CRUISE LANDSCAPE

A RANGE OF LUXURY OPTIONS

Like all luxury industries, there is a range of levels of luxury across the higher-end cruise segment. These can be largely divided into three types, from the least to the most expensive:

- **Mid-size ship luxury** - cruises aboard ships with ~1,000 in capacity which sail to typical cruise destinations (i.e. Caribbean, Mediterranean, Alaska), with a focus on dining, service and relaxation. The main competitors in this space are Explora Journeys, Oceania and Viking (who carve out their own niche). These cruises are priced somewhere between \$300-700 per night.
- **Small-ship luxury** - cruises aboard smaller 500-700 capacity ships. These cruises are generally all-inclusive and feature a greater focus on the destination, with smaller ships able to access ports which larger ships are unable to (i.e. Little Bay in Montserrat). The main competitors in this market are Silversea, Seabourn and Regent, owned by RCL, CCL and NCLH respectively. These cruises are priced between \$650-1,000 per night.
- **Yachts** - cruises aboard yachts with high-quality interiors, varied dining options and excellent service. These yachts typically have capacity for 100-400 passengers and feature high-end onboard amenities such as restaurants, spas and on-ship pools. Sailings are generally shorter than traditional cruises and focus on yachting itineraries/locations like island hopping or sailing along the Amalfi Coast or French Riviera. This segment is so far dominated by hotel companies/brands (i.e. Accor with Orient Express Sailing Yachts, Aman at Sea, Four Seasons Yachts), with ship staterooms looking to emulate the experience of a luxury hotel stay at sea. These cruises can be extremely expensive, with prices in excess of \$5,000 per night.

SHIP SIZE IS A KEY DETERMINANT OF PRICE

We find that customers are willing to pay exponentially more for cruises aboard smaller ships, with a cruise aboard Aman's 110 berth ship, Amangati, commanding a nightly price 10x greater than a Seabourn cruise aboard a ship 5x the size ([Exhibit 4](#)). Smaller ships generally offer more private and communal space/amenities per guest. Therefore, the connection between prices and ship capacity is unsurprising. We find that Viking greatly outperforms this pricing trend, with consumers willing to pay around twice what they would usually pay for cruises aboard ~1,000 berth ships, exhibiting Viking's significant differentiation and brand power.

THE LUXURY CRUISE SEGMENT HAS SEEN LITTLE CHANGE

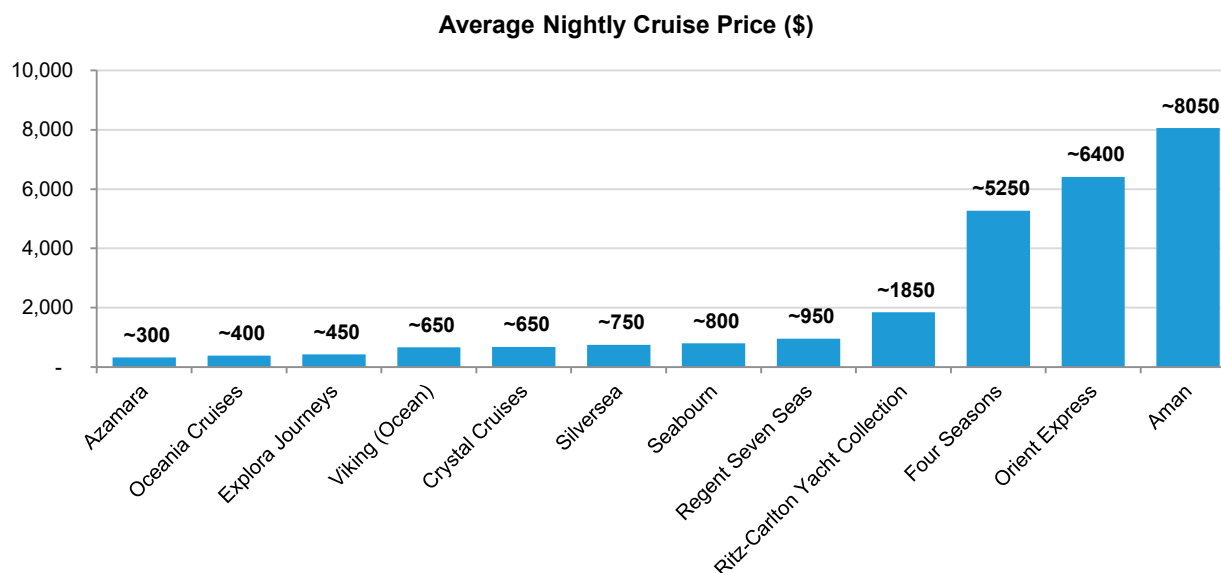
The mainstream cruise product has seen significant evolution in recent history, with an increased focus on the latest and largest ships and consumer appetite for private destinations. As a result, RCL is able to achieve significant premium on its latest Icon class ships and sailings that travel to its industry leading private destination, Perfect Day at CocoCay. In contrast, the luxury cruise segment remains broadly unchanged: ship hardware has not evolved materially, luxury cruises do not visit private destinations, and destination strategy remains focused on traditional cruise locations like the Caribbean, Mediterranean and Northern Europe.

EXHIBIT 1: Luxury cruise industry



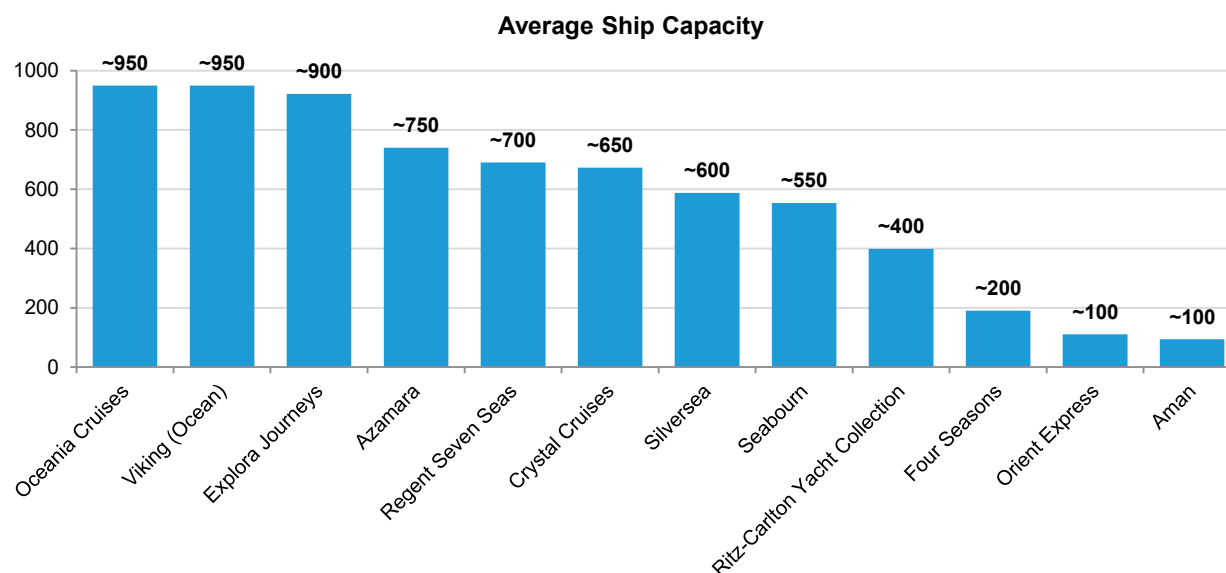
Source: Bernstein analysis

EXHIBIT 2: Viking is priced at the lower end of the luxury cruise market, behind smaller-ship luxury brands such as Silversea, Seabourn and Regent. Nightly prices for sailings aboard yachts range well into the \$000s, with an Aman cruise starting at ~\$8,000 a night.



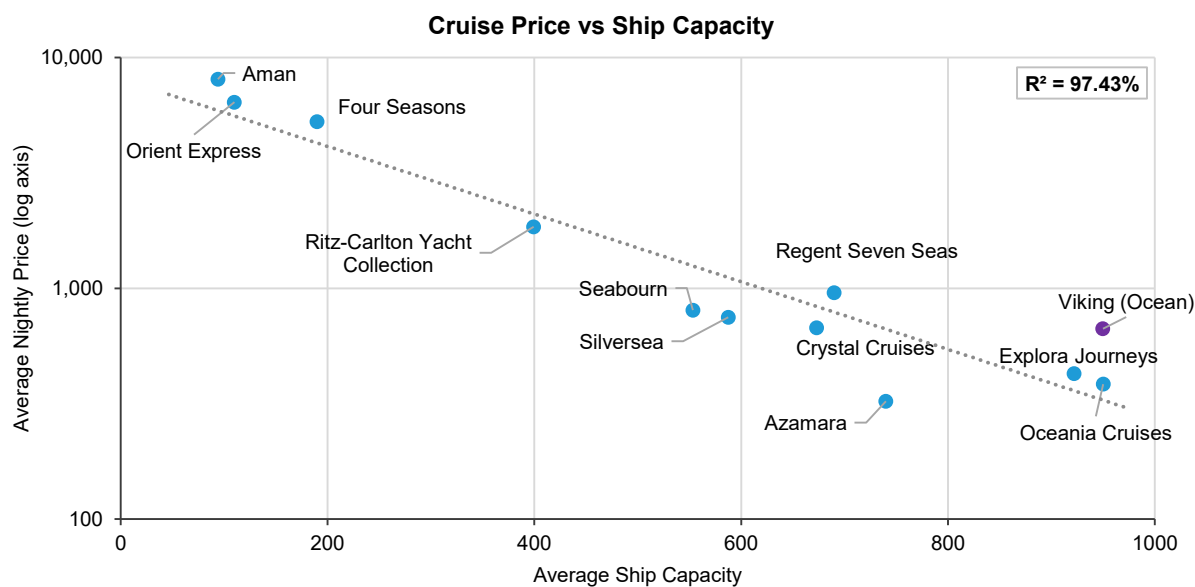
Source: Company websites, Bernstein analysis & estimates

EXHIBIT 3: Viking and Oceania have the largest average ship capacity in the luxury cruise segment at ~950 berths, over double the size of the largest yacht operated by Ritz-Carlton Yacht Collection



Source: Company reports, Seatrade, Bernstein analysis

EXHIBIT 4: Customers are willing to pay significantly more for cruises aboard smaller ships, but Viking commands a price premium relative to its average ship size



Source: Company reports & websites, Bernstein analysis

DIFFERENTIATION IN THE LUXURY CRUISE SEGMENT

Luxury is not a homogeneous sector but houses many different sub categories, from Viking's mid-sized relaxed ships to the opulent yachts luxury hotels brands have launched.

How Viking differentiates itself from other luxury cruise brands

Viking is able to achieve a pricing premium by differentiating itself from the rest of the luxury ocean cruise industry and appealing to a customer demographic that continues to return to the brand. They achieve this through the following three things:

- **Focus on the destination and enrichment** - Unlike other luxury cruise bands which try and sell their on-ship experience, Viking focuses on selling the destination to “the thinking person”. Viking’s Ocean ships are almost identical with the only difference being that newer ships have slightly more capacity (~70 berths), they do not specifically market the newest hardware. Instead the focus is on providing enriching shore excursions, on-ship lectures and a curated library onboard the ship to help passengers learn more about the destination they are traveling to ([Exhibit 5](#)). Other luxury brands focus on the all-inclusive on-ship experience (like Seabourn) or the quality of on-ship dining (like Oceania); although Viking excels in these aspects, it is not the defining feature of a Viking cruise.
- **Relaxed rather than opulent** - The flavor of luxury Viking offers is less stuffy and opulent than other brands, instead focusing on quality service in a relaxed environment. Therefore, Viking does not focus on providing guests with champagne and caviar (which other brands like Seabourn emphasize in their marketing material) but instead provide a curated local dining experience. Furthermore, the design language of their ships follow a refined Scandinavian approach rather than traditional luxury.
- **Distancing itself from other cruise brands** - Viking goes a long way to distance itself from practices elsewhere in the cruise industry that it believes guests may have an aversion to. Their marketing make an effect to distance the Viking product from mainstream cruise (“no children”, “no casinos”, “no umbrella drinks”), and emphasize where they differ from other luxury cruise brands (“no butlers/white gloves”, “no art auctions”) ([Exhibit 6](#)). Together, this likely attracts non-cruisers in Viking’s target customer demographic (55+, affluent North American) to the Viking brand and potentially into the cruise market itself.

Overall, Viking’s product is well-loved by its guests ([Exhibit 7](#)) who continue to choose to cruise with Viking over other luxury competitors; 54% of 2025 guests were repeat travelers with Viking. This strong brand contributes to the yield premium that Viking enjoys.

EXHIBIT 5: Viking's marketing material emphasises that the brand is "for the thinking person", featuring shore excursions to museums/art galleries, onboard history/art lectures and onboard libraries



Source: Viking marketing material, Bernstein analysis

EXHIBIT 6: They also make a point of being differentiated from the mainstream cruise lines ("no casinos") and also other luxury cruise lines ("no butlers or white gloves")

WHAT VIKING IS NOT

We do not try to be all things to all people

In addition to being known for all that we do, Viking stands apart for all that we do not do.

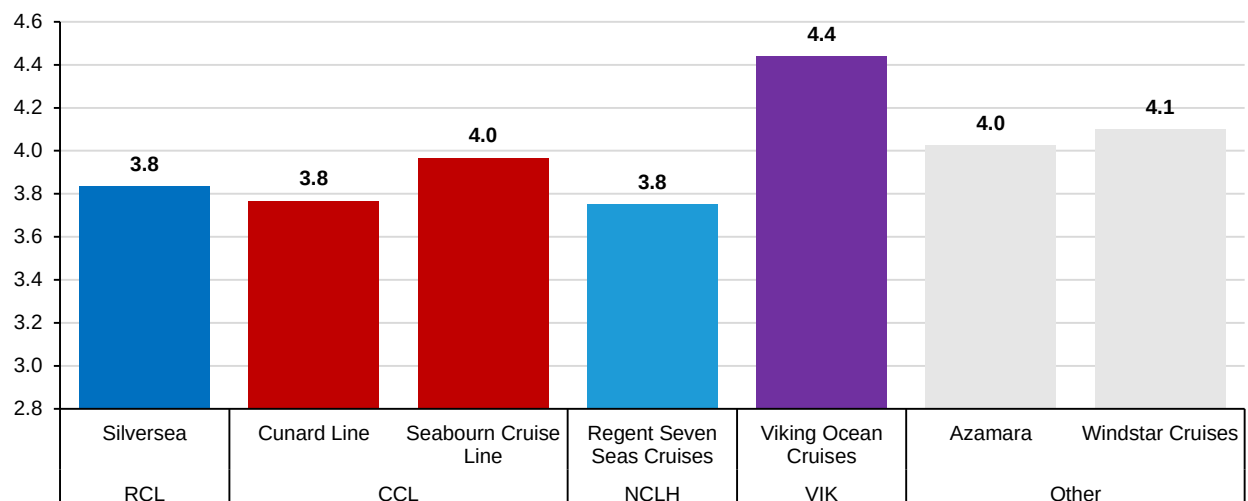
- **No** children under 18
 - **No** casinos
 - **No** nickel and diming
 - **No** charge for Wi-Fi*
 - **No** charge for beer & wine at lunch & dinner
 - **No** umbrella drinks
 - **No** photography sales
 - **No** art auctions
 - **No** inside staterooms
 - **No** smoking
 - **No** waiting in lines
 - **No** formal nights, butlers or white gloves
- Plus, guests on our ocean and expedition ships benefit from:*
- **No** charge for alternative restaurants
 - **No** charge for use of laundrettes
 - **No** entrance fee for The Nordic Spa or Fitness Center
 - **No** spa sales pressure

*Connection speed may vary; restrictions or incremental charges may apply

Source: Viking marketing material, Bernstein analysis

EXHIBIT 7: Viking's unique offering is well-loved by their customers, with an average review score ahead of the rest of the luxury segment

Average guest review score - Luxury Ocean



Source: Cruise Critic, Bernstein analysis

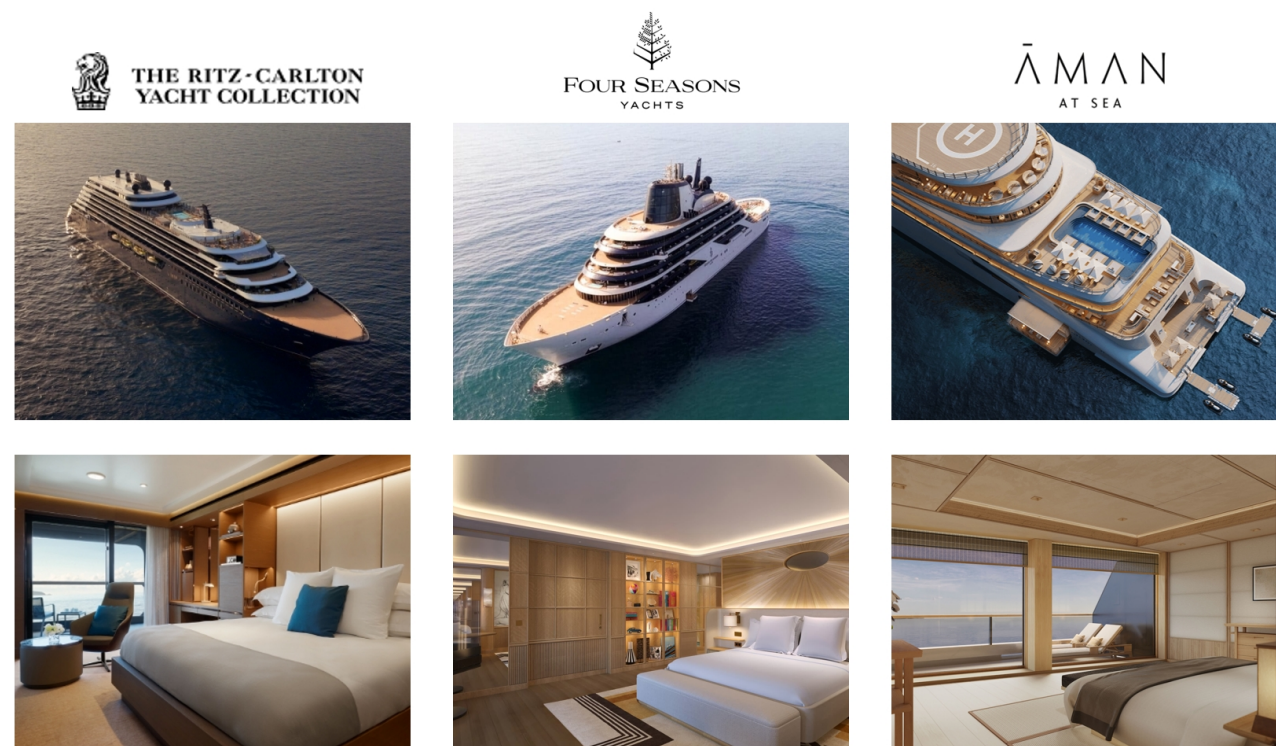
Hotel brands use yachts to carve out their own higher-end segment within luxury

Rather than building large cruise ships and using their brands alone to stand out from the competition, the luxury hotel brands have developed small (100-450 berth) yachts to differentiate themselves from the rest of the luxury cruise industry. The first hotel brand to do this was Ritz-Carlton with their Ritz-Carlton Yacht Collection. Their first ship, Evrima, was set to launch in 2020 but was delayed to October 2022 by the Covid pandemic. Since then Ritz-Carlton has launched two further vessels, and Four Seasons and Orient Express (which is a subsidiary of Accor) have launched their first ships this year. Aman, a luxury hotel brand, is launching their first yacht, the Amangati, next spring. These yachts provide a very different experience to traditional luxury cruises, with sleek modern designs and suites with private splash pools ([Exhibit 8](#)). Four Seasons markets the experience specifically as “A Luxury Yacht, Not a Luxury Cruise”.

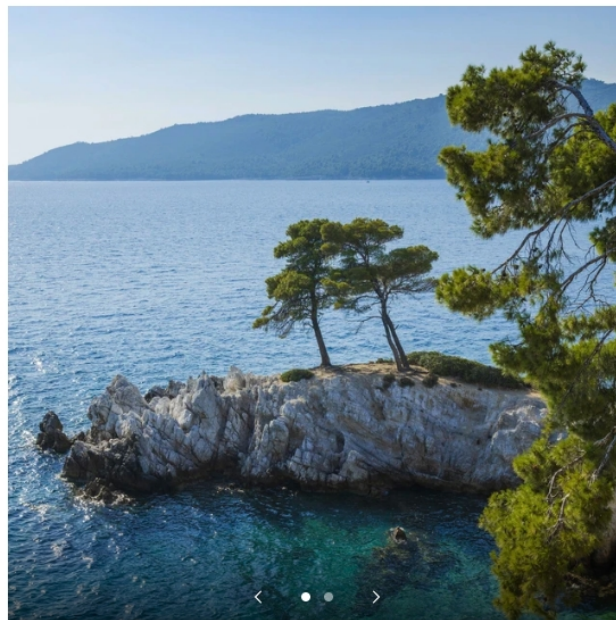
These brands are unlikely to be competing for the same customers as the rest of the luxury cruise industry, instead attracting customers loyal to their brands or customers who might be looking to charter a private yacht instead. Orient Express in fact allows customers to charter their entire Corinthian yacht if booked far enough in advance ([Exhibit 9](#)). Furthermore, they compete in traditional yachting markets rather than traditional cruise markets with itineraries in popular European yachting destinations such as the French Riviera, Amalfi Coast and Greek Islands ([Exhibit 10](#)).

These ships come at significant cost, especially given their small capacity. Orient Express's two sailing yachts cost \$300m, working out to a cost of ~\$5.4m per stateroom ([Exhibit 11](#)). This is about 5x the cost of a stateroom on a Viking luxury ocean ship or a Royal Caribbean mainstream (Icon class) ship. Despite this, the yachts segment of the luxury cruise industry is seeing the fastest growth, with mid-teens % capacity growth over the next two years (albeit coming on a small base) ([Exhibit 12](#)).

EXHIBIT 8: The luxury hotel brands entering the cruise market bring a more modern and sleek design to ships and cabins



Source: Company websites, Bernstein analysis

EXHIBIT 9: Orient Express's Corinthian yacht can be chartered for a private cruise if booked far in advance


Sailing Yacht • Corinthian

Sailing the Cyclades to Constantinople

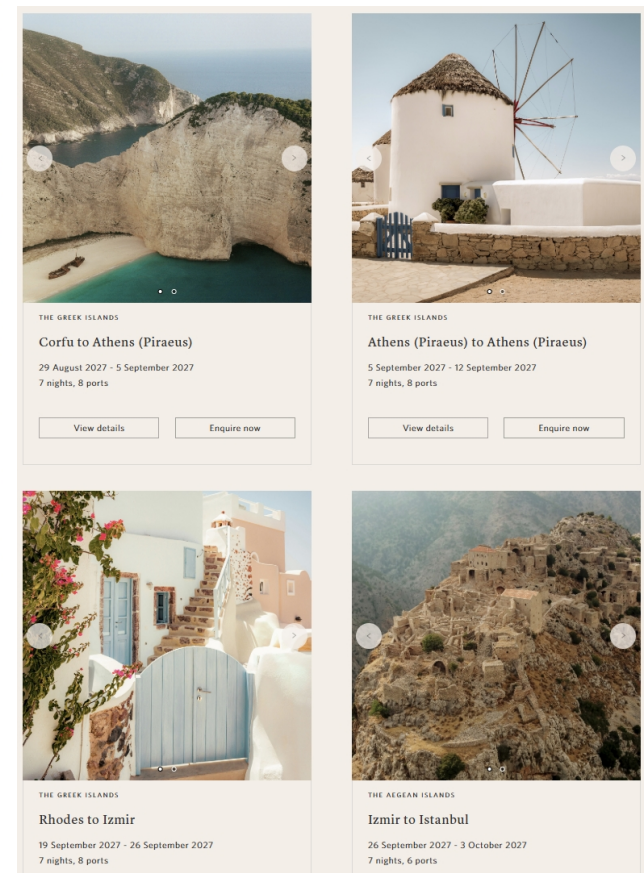
🕒 7 nights

📅 05 Jun 2027 - 12 Jun 2027

🗺️ One way

Available For Privatization

Source: Company website, Bernstein analysis

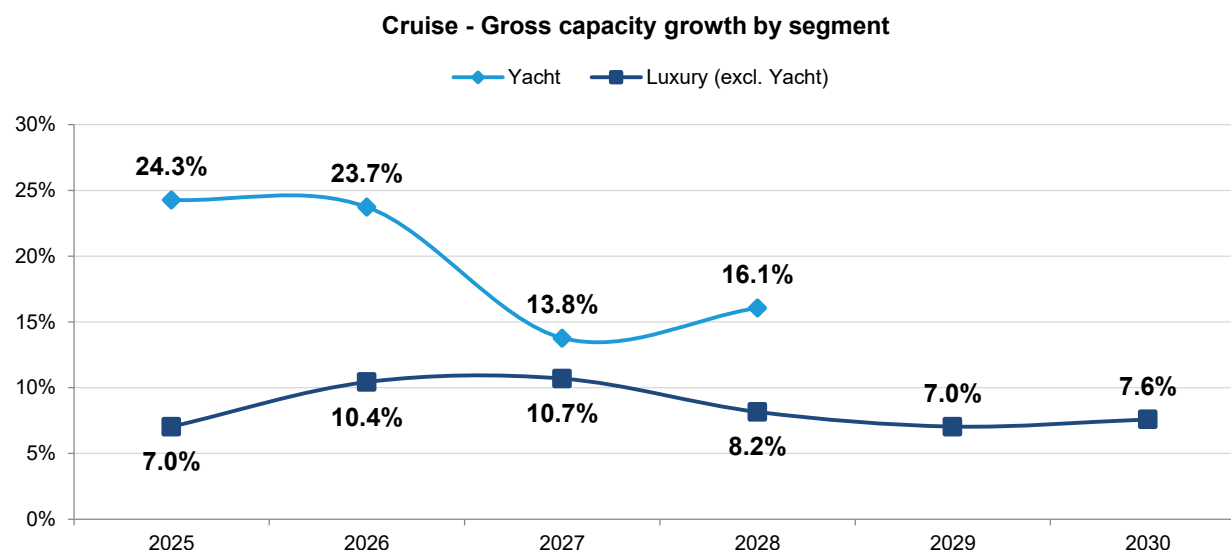
EXHIBIT 10: These yacht brands compete in luxury yacht charter markets like the Greek islands, Croatian coast or French Riviera


Source: Aman, Bernstein analysis

EXHIBIT 11: Cruise yacht ships in service and order

Brand	Ship Name	First Sailing	Passenger Capacity	Purchase Cost	Cost per Unit Capacity
Ritz-Carlton Yacht Collection	Evrina	Oct-22	298	\$320m	\$1.1m
	Ilma	Sep-24	448	\$400m	\$0.9m
	Luminara	Jul-25	452	\$400m	\$0.9m
Four Seasons Yachts	Four Seasons I	Jan-26	190	\$400m	\$2.1m
	Four Seasons II	Jul-27	190	\$440m	\$2.3m
Aman at Sea	Amangati	May-27	100	\$200m	\$2m
Orient Express Sailing Yachts	Corinthian	May-26	110	\$300m	\$2.7m
	Olympian	Apr-27	110	\$300m	\$2.7m
Emerald Cruises	Kaia	Apr-26	128	\$115m	\$0.9m
	Raiya	Jun-27	128	\$120m	\$0.9m
	Xara	Apr-28	128	\$120m	\$0.9m

Source: Company websites, Cruise mapper, Cruise critic, SeaTrade, Bernstein analysis & estimates

EXHIBIT 12: **Supply in the yacht segment is set to grow faster than in the traditional luxury segment until 2029**

Source: SeaTrade, Bernstein analysis & estimates

DEMAND GROWTH FOR LUXURY CRUISES**DEMOGRAPHIC TAILWINDS TO LUXURY CRUISE DEMAND**

The key customer demographic for luxury cruises is older and more affluent than that of mainstream cruises, which are instead targeted at families looking for cost-effective vacations.

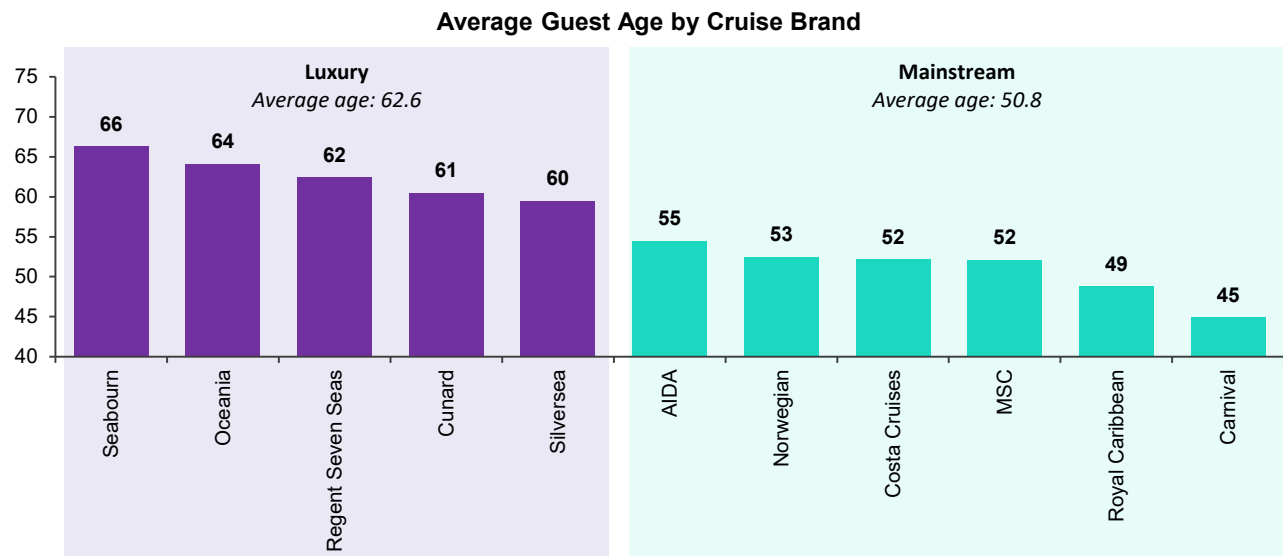
An aging wealthy population:

- Whilst mainstream cruise brands are designed for family based fun, luxury cruise brands are targeted at adults, often of retirement age, with Viking prohibiting guests under the age of 18. We see that the average age of luxury cruise brand goes is roughly 10 years higher than that of mainstream brands ([Exhibit 13](#)).
- This means that luxury brands are even more exposed to the key demographic and macroeconomic changes which are supportive of the entire cruise industry, namely the aging US population and increasing concentration of wealth amongst this age group ([Exhibit 14](#), [Exhibit 15](#)).

An environment where the rich get richer:

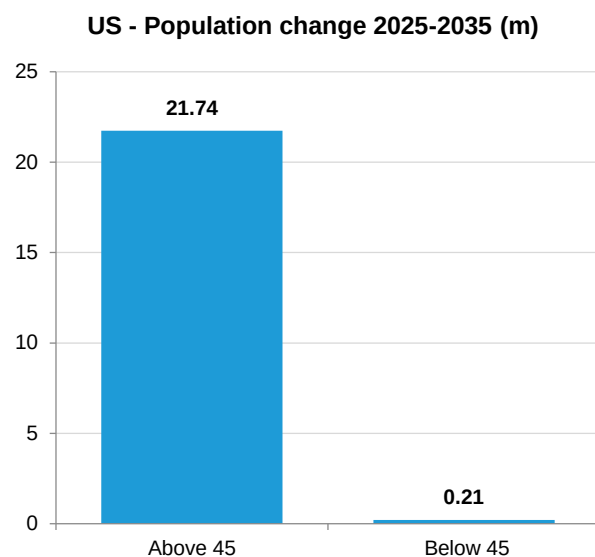
- Over the last few decades, we have seen both income and wealth inequality increase in the US, with the wealthy growing their share of US wealth and high income earners growing their income ahead of lower income earners ([Exhibit 16](#), [Exhibit 17](#)). This should disproportionately benefit the luxury cruise segment, as their affluent customer demographic continue to growth their spending power.
- We also see that the affluent are growing their time available for leisure, with the 25% highest income Americans reducing their daily working hours since 2019, giving them more time to travel ([Exhibit 18](#)).

EXHIBIT 13: The average age of luxury cruise goers is roughly ten years older than guests aboard mainstream cruise brands



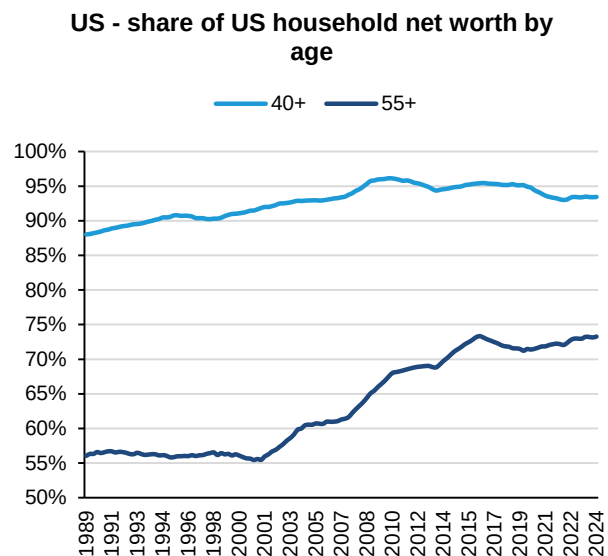
Source: Cruise1st, Bernstein analysis

EXHIBIT 14: Over the next decade, the US population is set to add ~22m over 45s but see virtually no growth in under 45s



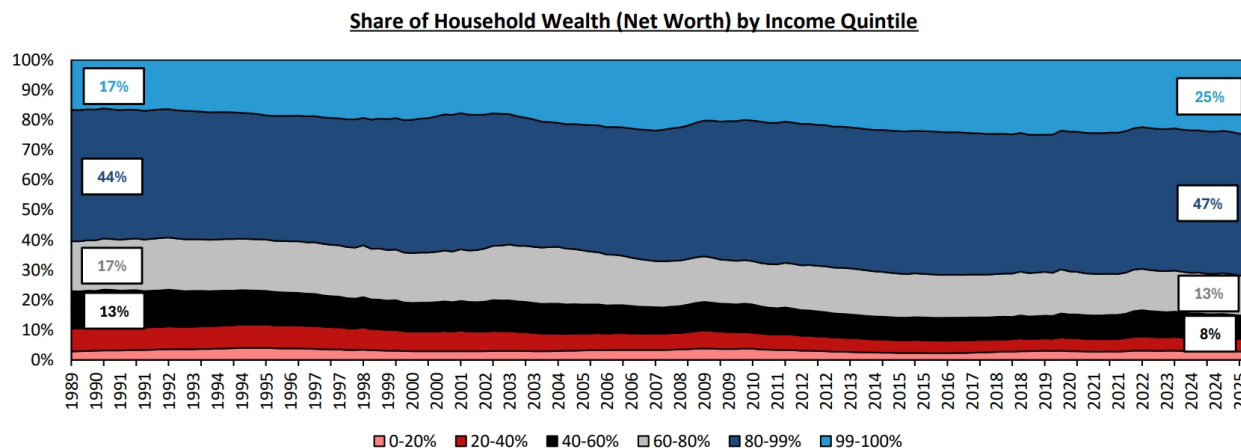
Source: World Bank, Bernstein analysis & estimates

EXHIBIT 15: Almost 75% of wealth owned by those over 55, with this share up more than 15% since 1990



Source: Federal Reserve Board, Bernstein analysis

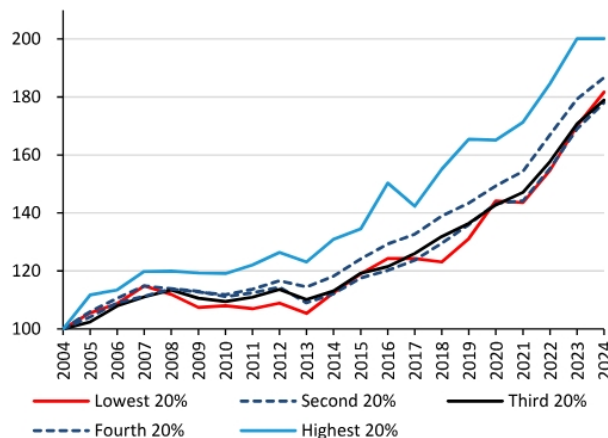
EXHIBIT 16: Over the last three decades, the wealthiest Americans have become wealthier with the top quintile's share of wealth increasing from 61% to 72%



Source: Federal Reserve, Bernstein analysis

EXHIBIT 17: The rich are getting richer - the highest income groups have also seen the greatest increase in income

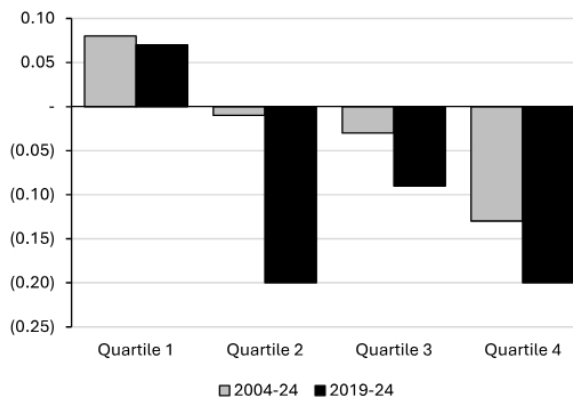
US income by quintile, indexed to 2004



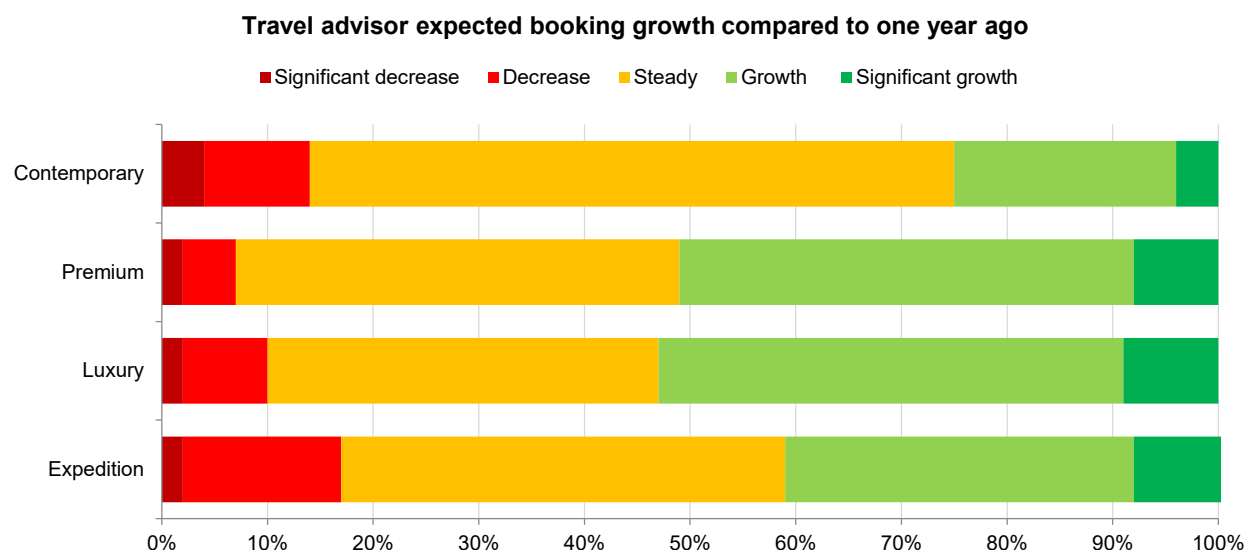
Source: US Bureau of Labor Statistics' American Time Use Survey, Bernstein analysis

EXHIBIT 18: The highest income groups have seen the largest reduction in hours worked - with more time for leisure

Change in average hours worked on an average day (by income group)



Source: US Bureau of Labor Statistics' American Time Use Survey, Bernstein analysis

EXHIBIT 19: **Travel agents expect Luxury cruise to deliver the strongest growth**

Source: CLIA, Bernstein analysis

SLOW LUXURY HOTEL SUPPLY GROWTH A TAILWIND

From a customer perspective cruise is another form of travel, and so while some passengers may be avid cruisers dedicated to the product, for most choosing to cruise is done so instead of another vacation - hence why cruise penetration of hotel demand is a relevant metric. However, we don't see the industry's competition with land based lodging as a threat to cruise, but instead a tailwind. Over the last few years' hotel supply growth has become increasingly constrained ([Exhibit 20](#)) - with higher construction, labor, and financing costs putting pressure on hotel ROIs ([Global Hotels: Which hotel should I own into 2026? Owner ROI Deep Dive](#)). This impact has been the most stark at the high end, with luxury hotel rooms under construction now <3% of supply well off the >7% pre-pandemic ([Exhibit 21](#) & [Exhibit 22](#)). We expect this to lead to an under supply of luxury hotel rooms, already at close to maximum occupancy - which will ultimately push new customers into alternatives, boosting cruise demand.

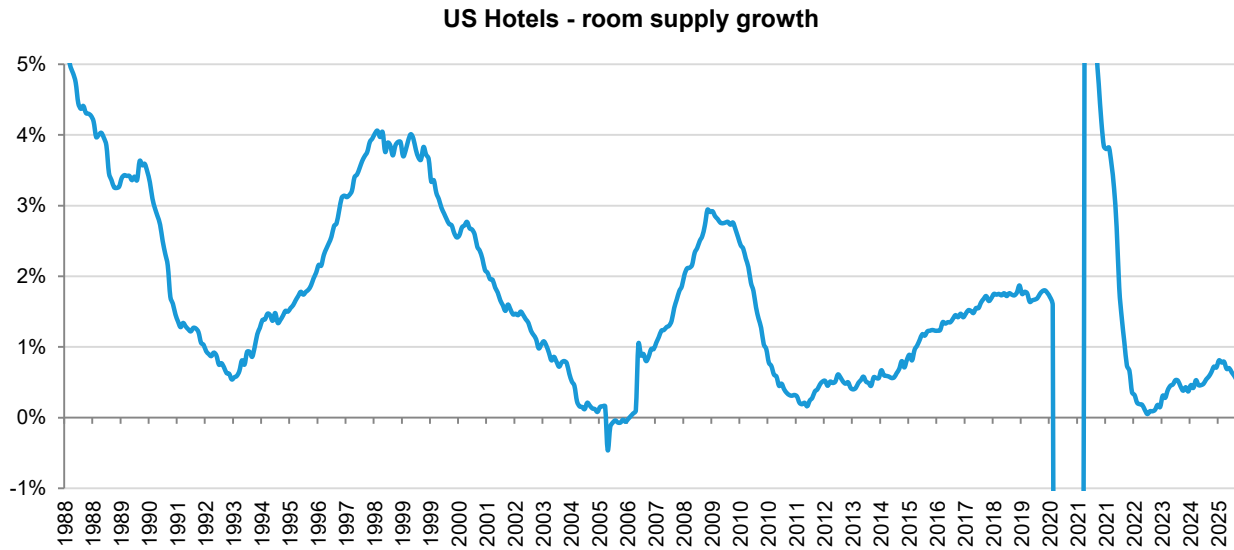
Luxury hotel supply growth is limited by owner ROI. Our analysis of hotel ROIs finds that luxury branded hotels have relatively low owner ROIs, with JW Marriott, Intercontinental and Conrad all returning <7% ([Exhibit 24](#)), below the cost of capital of many developers, and not far from the risk-free rate. These low ROIs are due to Luxury hotels being particularly sensitive to higher building costs ([Exhibit 25](#)) from rapidly growing construction costs (especially versus conversion brands) and elevated operating costs from growing wages. This means that supply growth in the luxury hotel segment is limited as owners are less eager to open luxury hotels. This dynamic is apparent across the US, and also key US outbound leisure markets ([Exhibit 26](#) & [Exhibit 27](#)).

Demand for luxury travel is strong. In the hotel industry, we have seen the luxury chain scale outperform the rest of the industry consistently, Luxury demand has gained share, and Luxury is the only chain scale in which ADR's have grown ahead of general inflation since 2000 ([Exhibit 28](#), [Exhibit 29](#)). We expect no slowdown in Luxury demand, already driving outsized RevPAR growth, and expect demand to begin to spill over into alternative products - supportive of cruise.

Luxury leisure cruise penetration more similar than headline metrics indicate. Luxury cruise penetration is structurally higher than overall cruise penetration. Cruise is a big ticket item, requires extended periods of vacation to be taken (particularly at the high end), and customers pay for convenience. These factors make cruise well suited to high income older travelers who have wealth, lots of spare time, and are happy to pay to minimize the input required of them. As a result luxury cruise capacity is ~2% of overall luxury hotel capacity vs 1.4% for the wider cruise industry. We expect higher Luxury cruise growth to mean it reaches 2.8% penetration of overall Luxury lodging, a significantly larger share gain than across the entire industry (1.6%). However, headline statistics make Luxury cruise penetration seem higher than it is - Luxury hotels over index to leisure relative to the overall hotel industry, splitting both into leisure we see Luxury cruise penetration very similar to that of overall cruise penetration (~3.5%), and expect even after 5 years of outsized Luxury cruise supply growth Luxury cruise penetration to be

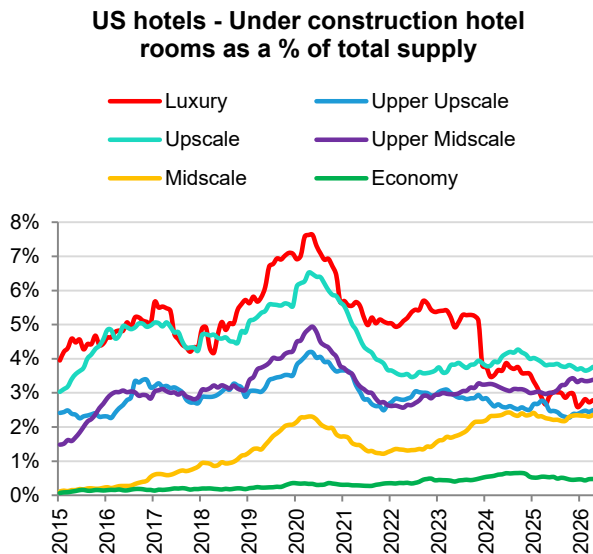
similar to the total market (5.1% vs 4.1%).

EXHIBIT 20: US hotel supply growth is firmly below 1%



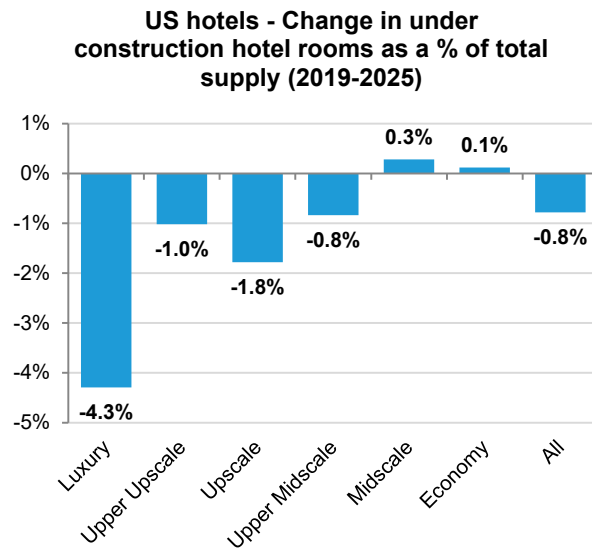
Source: CoStar, Bernstein analysis

EXHIBIT 21: Luxury hotel rooms under construction have tumbled, with owner returns under pressure

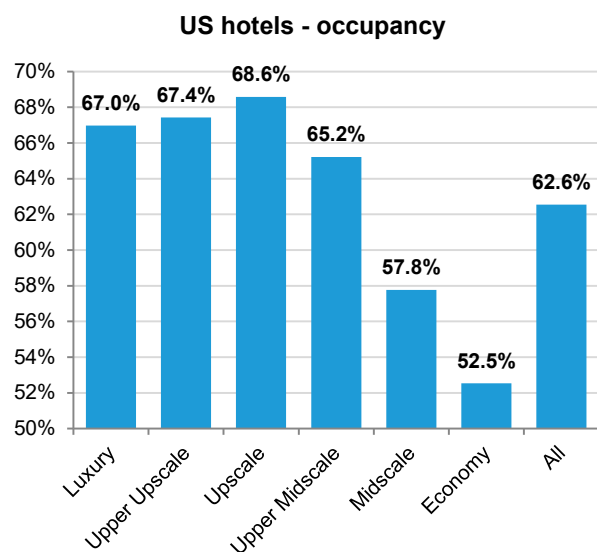


Source: CoStar, Bernstein analysis

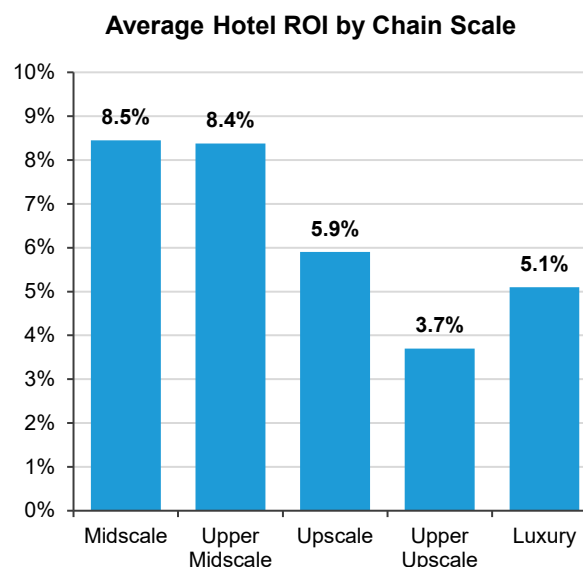
EXHIBIT 22: Luxury hotel rooms under construction relative to supply has plummeted vs pre pandemic



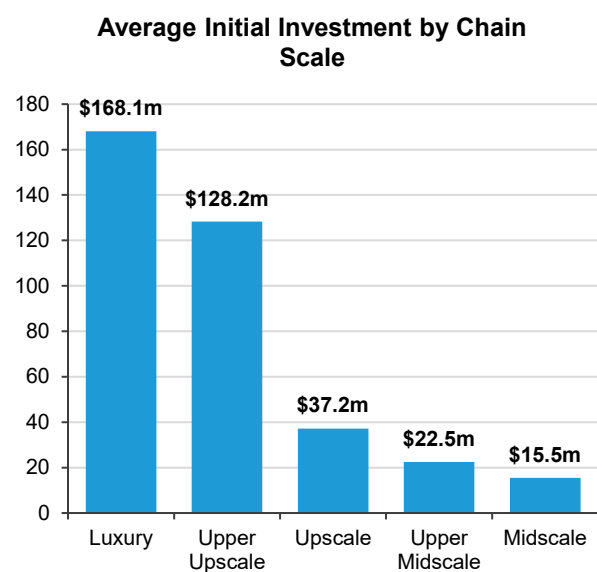
Source: CoStar, Bernstein analysis

EXHIBIT 23: Luxury hotels are already close to maximum occupancy

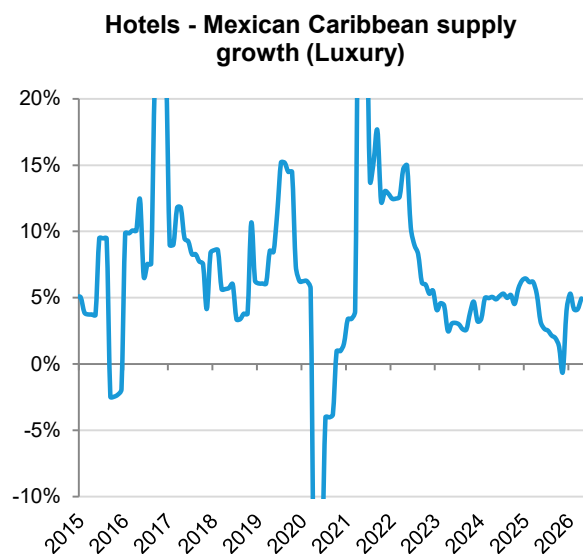
Source: CoStar, Bernstein analysis

EXHIBIT 24: Luxury hotels have a lower owner ROI than hotels further down the chain scale, limiting supply growth as owners opt for higher ROI projects

Source: STR, Franchise Disclosure Documents, Bernstein analysis & estimates

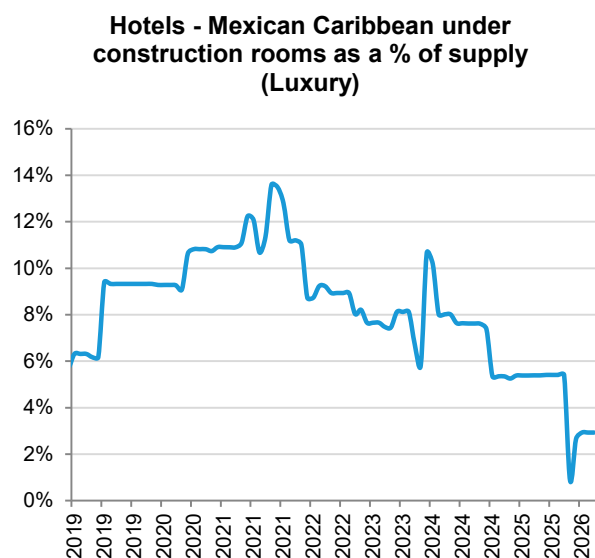
EXHIBIT 25: Luxury hotels require almost 5x the initial investment required for an Upscale hotel

Source: STR, Franchise Disclosure Documents, Bernstein analysis & estimates

EXHIBIT 26: US dynamics are mirrored in key US outbound markets - supply growth has slowed at the high end...

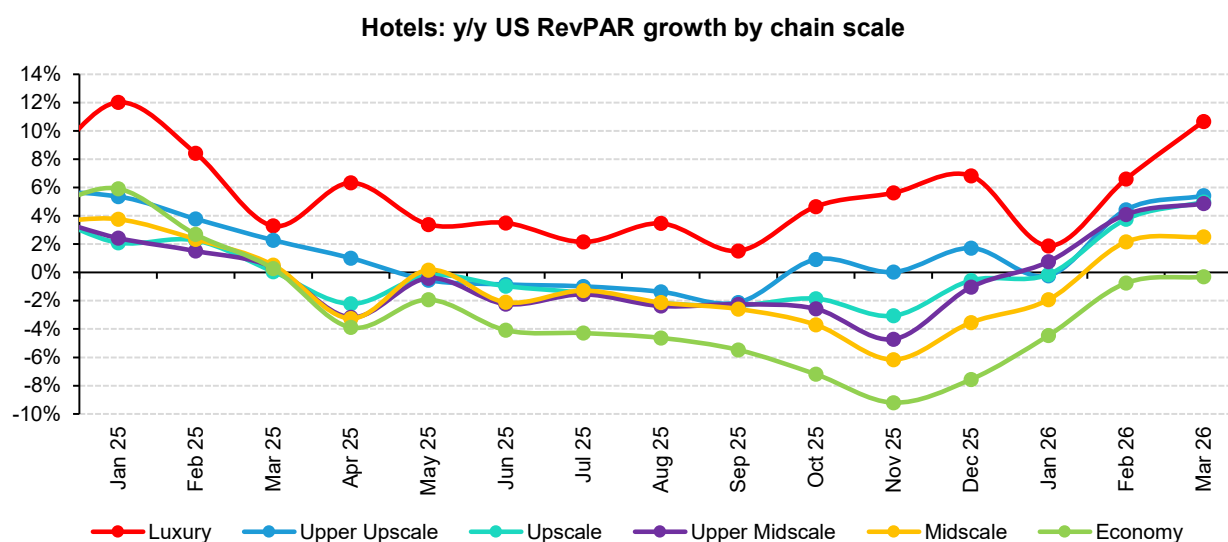
Source: CoStar, Bernstein analysis

EXHIBIT 27: ...while hotels under construction have also fallen materially

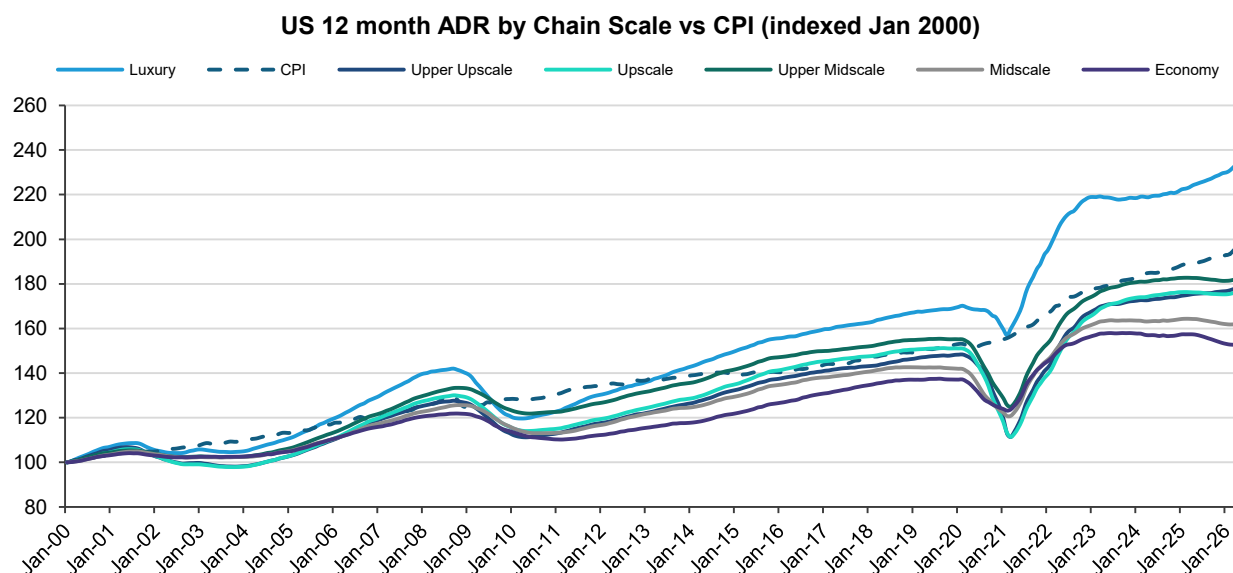


Source: CoStar, Bernstein analysis

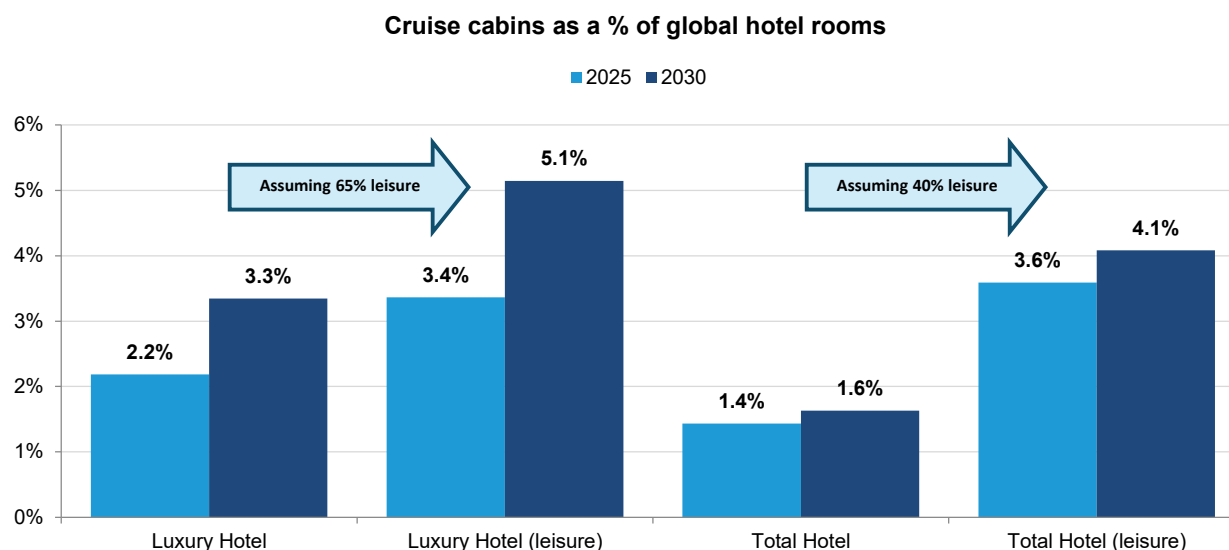
EXHIBIT 28: Luxury RevPAR has been significantly outperforming the rest of the industry



Source: CoStar, Bernstein analysis

EXHIBIT 29: Luxury hotels have also had significantly more pricing power than any other chain scale

Source: Costart, Bernstein analysis

EXHIBIT 30: Luxury cruise (including yachts) has a higher penetration of the luxury leisure hotel market than the overall cruise industry does of the entire hotel market. Although this isn't the case with luxury leisure yet, it is set to be by 2030.

Source: CoStar, SeaTrade, Bernstein analysis & estimates

SUPPLY GROWTH IN THE LUXURY CRUISE SEGMENT

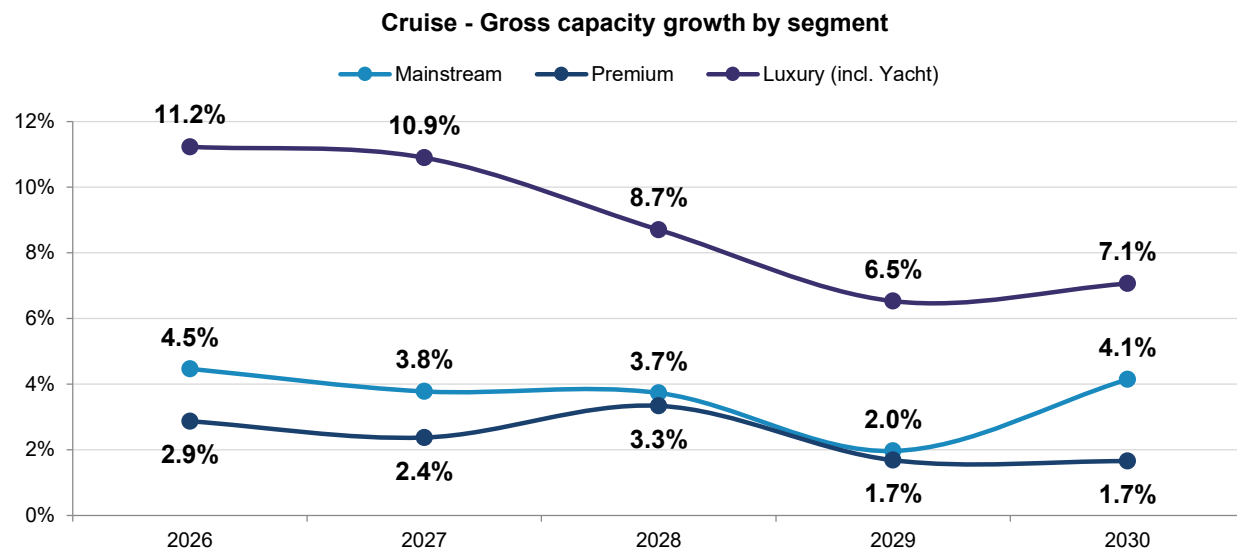
Cruise supply is set to grow fastest in the luxury segment - Under the current order book, the luxury segment supply (including yachts) is set to grow faster than the rest of cruise industry, growing at a 9% CAGR through 2030 versus just 4% and 2% at the mainstream and premium segments respectively.

However, luxury supply is constrained by shipyard capacity - Fincantieri shipyard in Italy will be building 26 of the 29 luxury cruise ships on order for delivery in the coming decade, with only smaller yachts being built elsewhere (Orient Express's sailing yachts being built at Chantier de l'Atlantique and Amangati, Aman's first yacht, being built at T. Mariotti in Genoa). With

Fincantieri building the larger, more traditional luxury ocean ships, as opposed to yachts, almost all (97%) of the additional capacity to luxury ocean in the next decade is set to come from that one shipyard ([Exhibit 32](#)).

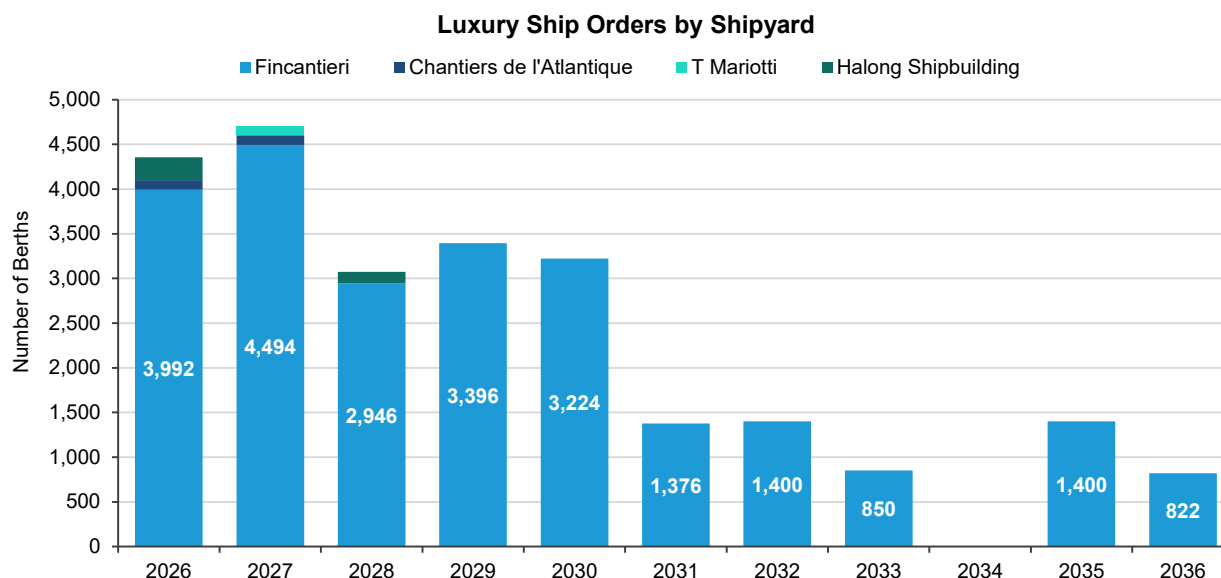
Viking has secured ship orders through to 2030 and beyond - In the luxury market, Viking has the most fleshed out order book, with two ~1,000 berth ocean ships to be delivered per year on average until 2030 ([Exhibit 33](#)). This is much better positioned than other larger competitors, with neither of RCL or CCL's luxury brands having any ships on order and NCLH's Oceania and Regent having four ships on order to 2030. As a result of a robust orderbook, Viking are growing capacity the fastest in the luxury cruise industry, with their ship additions constituting over 50% of Luxury growth to 2030 ([Exhibit 34](#)).

EXHIBIT 31: The luxury cruise market (including yachts) is set to outpace the supply growth of the mainstream and premium segments through to 2030



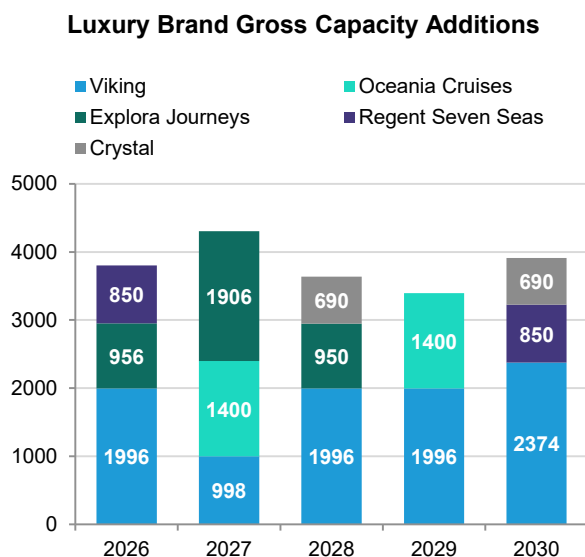
Source: SeaTrade, Company reports, Bernstein analysis

EXHIBIT 32: Over the next decade, almost all the luxury capacity on order is being built at Fincantieri, suggesting that luxury capacity is limited by just one shipyard. Yachts being built for Aman, Orient Express and Emerald have little impact on overall capacity



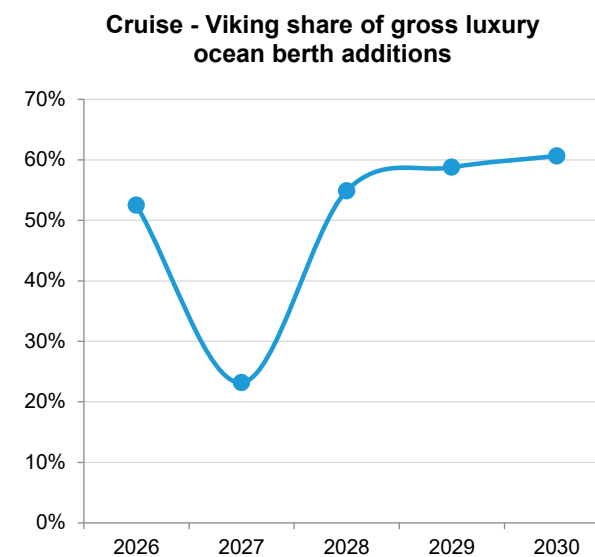
Source: SeaTrade, Bernstein analysis & estimates

EXHIBIT 33: Whilst other luxury cruise brands are set to add capacity sporadically over the next 5 years, Viking is set to add 2 ships per year on average



Source: Seatrade, Bernstein analysis

EXHIBIT 34: Viking is set to constitute >50% of luxury capacity growth through to 2030



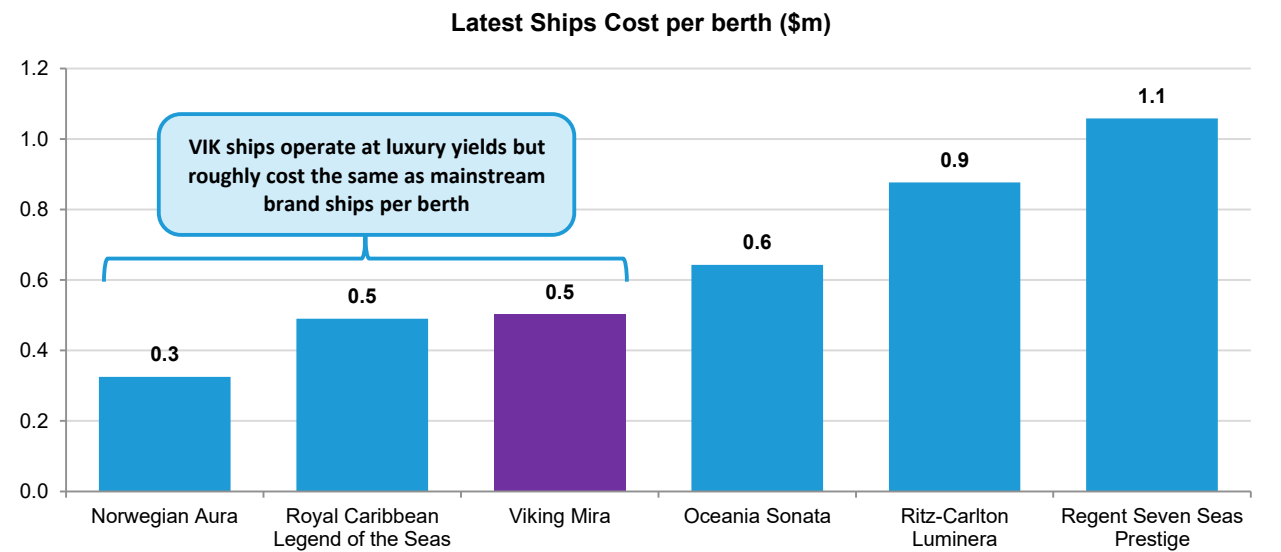
Source: Company reports, SeaTrade, Bernstein analysis

COST OF BUILDING LUXURY CRUISE SHIPS

Luxury ship costs vary by ship size. Depending on the type of luxury cruise ship, ship costs can vary significantly. The larger the ship, the lower the cost on a per berth basis, with yachts and small luxury ships costing in excess of \$1m per berth, whilst ~1,000 capacity ships, used by Viking and Oceania for example, cost around \$0.5m per berth.

Viking is able to keep ship costs in line with mainstream brands. Despite Viking’s ocean ships being far smaller than ships elsewhere in the industry, particularly in the mainstream segment, Viking is able to acquire ships at a relatively low cost on a per-berth basis. Viking’s latest ocean ship, Mira, cost roughly \$0.5m/berth, similar to Royal Caribbean’s next 5,600 berth Icon class ship, Legend of the Seas. Other luxury brands, like Ritz-Carlton and Regent Seven Seas, spend approximately 2X Viking’s cost per berth. This lets Viking operate its ocean ships at luxury cruise yields (~\$550 per APCD in 2025), whilst only paying mainstream level prices to add capacity ([Exhibit 35](#)).

EXHIBIT 35: **Viking's most recent ship, Mira, costs about the same as RCL's newest Icon class ship per berth but operates at higher luxury yields**



Source: Seatrade, Company reports, Bernstein analysis & estimates

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We value Carnival at a PT of \$28.70 via (1) a NTM EV/EBITDA multiple derived from a fair valued determined by fundamentals benchmarked against peers, and (2) an NTM+1 P/E multiple. We value Carnival on an 7.3x NTM EV/EBITDA multiple, and a 11.3x NTM+1 P/E multiple. We arrive at our CCL.LN PT of £21.53 by applying the USD to GBP exchange rate to our CCL PT.

Norwegian Cruise Line Holdings Ltd

We value Norwegian at a TP of \$18 via (1) a NTM EV/EBITDA multiple derived from a fair valued determined by fundamentals benchmarked against peers, and (2) an NTM+1 P/E multiple. We value Norwegian on a 7.3x company reported NTM+1 EV/EBITDA multiple, and a 8.0x NTM+1 P/E multiple.

Royal Caribbean Cruises Ltd

We value Royal Caribbean at a TP of \$355 via (1) a NTM EV/EBITDA multiple derived from a fair valued determined by fundamentals benchmarked against peers, and (2) an NTM+1 P/E multiple. We value Royal Caribbean on a 12.9x NTM EV/EBITDA multiple, and a 16.2x NTM+1 P/E multiple.

Viking Holdings

We value Viking at a TP of \$120 via (1) a NTM+1 P/E multiple derived from fundamentals benchmarked against peers, and (2) an NTM+1 EV/EBITDA multiple. We value Viking on a 21.4x company reported NTM+1 P/E multiple, and a 17x NTM+1 EV/EBITDA multiple.

RISKS**Carnival Corp**

Upside risks to our target price:

- Demand better than expected
- Higher than expected utilization
- Better than anticipated cost control

Downside risks to our target price:

- Cost inflation grows ahead of expectations and yields
- Cruise demand contracts

- Higher interest rates on debt servicing

Norwegian Cruise Line Holdings Ltd

Upside risks to our target price:

- Demand better than expected
- Cost efficiencies materialize ahead of expectations
- Greater than expected private destination tailwind

Downside risks to our target price:

- Cost inflation grows ahead of expectations and yields
- Cruise demand contracts
- Higher interest rates on debt servicing

Royal Caribbean Cruises Ltd

Downside risks to our target price:

- Cost inflation grows ahead of expectations and yields
- Cruise demand contracts
- Ship construction costs grow more quickly than expected

Viking Holdings

Downside risks to our target price:

- Luxury consumer health deteriorates
- Celebrity entrance into European river cruise is material headwind
- Cost inflation grows ahead of expectations

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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Bernstein brand stock ratings are based on a 12-month time horizon.

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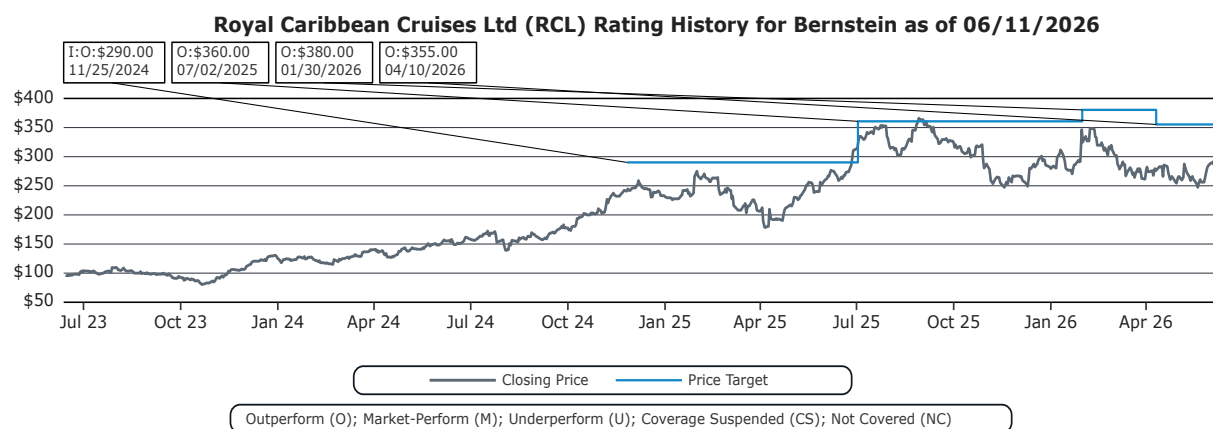
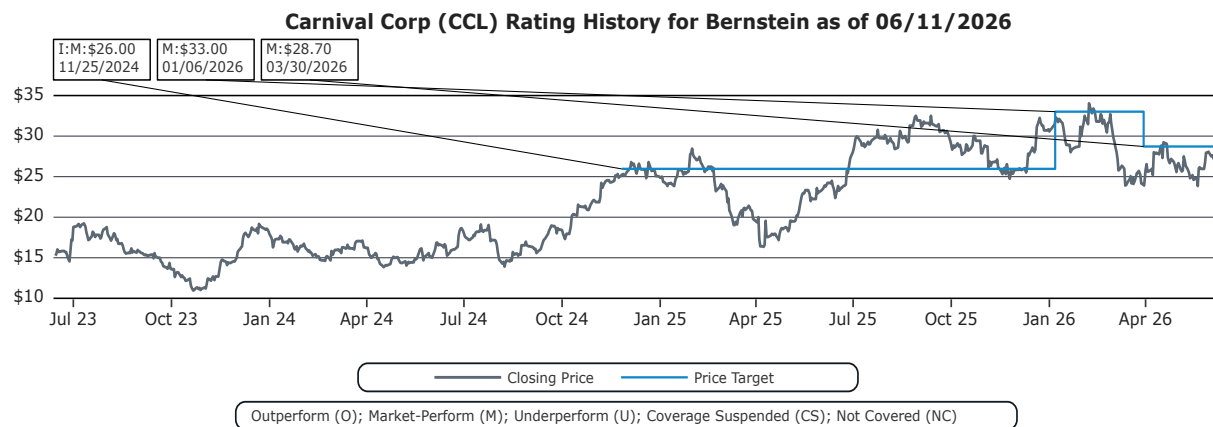
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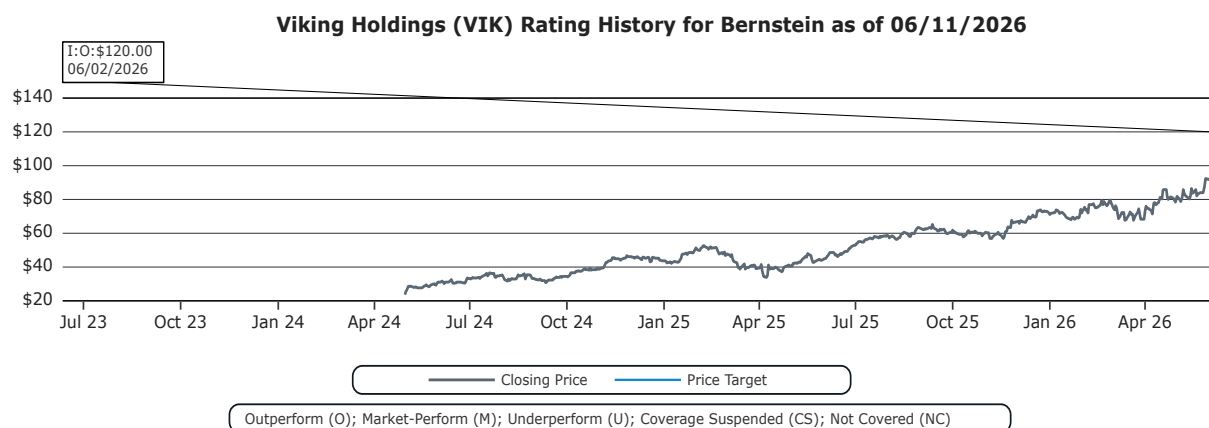
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As of March 31, 2026. All figures are updated quarterly.

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